FAQs

1. **What is NPS Bharat Fund of Funds? (NB-FoF)**

   NPS Bharat Fund of Funds (NB-FoF) is a dedicated Alternative Investment Fund (AIF) focused Fund of Funds established under the NPS framework to channel a portion of NPS assets (Pension Savings) into carefully selected Alternative Investment Funds in India.

   It serves as an institutional investor in order to facilitate structured exposure of NPS assets to high-quality AIFs, while ensuring strong governance, risk management, and fiduciary discipline.

   The NB-FoF aims to:

   - Enhance long-term subscriber returns
   - Provide portfolio diversification through alternative asset exposure
   - Generate alpha through investment in well-managed AIFs
   - Uphold the highest standards of governance, transparency, and fiduciary oversight.

   Operationally:

   i. The FoF functions as a centralized platform offering a single-window application process for eligible AIFs seeking investment, thereby streamlining access and evaluation.

   ii. The structure incorporates a centralized vetting and due diligence framework, while preserving the statutory investment responsibilities of the individual Pension Funds under the applicable regulatory framework.

2. **What is NPS Bharat FoF platform?**

   NPS Bharat FoF Platform is a centralized Fund-of-Funds mechanism that acts as a single-window interface for onboarding, evaluating, investing, and post investment monitoring of eligible Alternative Investment Funds (AIFs) on behalf of NPS Trust, ensuring standardized due diligence, coordinated investments, and ongoing oversight

3. **What categories of Alternative Investment Funds (AIFs) are eligible?**

   SEBI-registered Category I and Category II Alternate Investment Funds (AIFs) as per Pension Fund Regulatory Development Authority (PFRDA) investment guidelines

4. **What is the sector mandate?**

   The NB-FoF is **sector-agnostic**.
   Investments may span across sectors such as but not limited to:
   - Financial services
   - Deep tech
   - Defence

- Pharmaceuticals
- Infrastructure
- MSME
- Manufacturing
- Digital economy
- Emerging sectors
- Consumer

5. **What is NB- FoF total corpus?**

   The corpus of the NB–FoF is based on PFRDA-permitted limits for alternative investments under NPS.

   As per extant PFRDA guidelines:

   - Up to 1% of AUM (Government Sector) may be allocated to alternative assets (including AIFs).
   - Up to 5% of Scheme E & C AUM (Non-Government Sector) may be invested in alternative assets (including AIFs).

   Note: The regulatory ceiling also includes investment in Gold/Silver ETFs & REITs/InvITs.

6. **What is the minimum size of corpus eligible for FoF?**

   AIFs with a target corpus of ₹100 Crore or more are eligible to apply for consideration under the FoF platform.

7. **Which AIFs are eligible to Apply?**

   AIFs can check their eligibility before registering click here

8. **How can AIFs Apply?**

   Eligible AIFs can only apply through the "Apply Now" Button on the FoF Platform. Only those AIFs who pass initial-assessment score can submit their application.

9. **Can an AIF seeking contribution invest in foreign companies/entities?**

   No, as per Section 25 of the PFRDA Act, 2013, Alternative Investment Fund (AIF) cannot invest in securities of Companies or Funds incorporated and operated outside India

10. **Does the FoF guarantee allocation to shortlisted AIFs?**

    No, shortlisting does not guarantee capital commitment. It is a two-stage selection process. Shortlisting of AIFs by the screening committee is only the 1st stage. Final commitment depends on:

    - Pension Fund Investment Committee's Approval
    - Regulatory Ceilings prescribed by PFRDA
    - Commercial Negotiation outcomes

11. What is the journey from application till final commitment?

Registration → Self-Assessment → Submission of Application →Screening Committee → Pension Funds Investment Committee → Documentation → Onboarding of AIFs

12. Who conducts assessment/appraisal?

The centralized **AIF Cell** under **NPS Trust** conducts primary due diligence, including but not limited to:

- Investment strategy evaluation
- Track record verification
- Governance review
- Risk assessment
- Legal and regulatory compliance
- Operational diligence

Individual Pension Funds may also conduct additional due diligence

13. What documents are typically required for AIF Cell Evaluation/Appraisal?

AIFs shall be required to provide:

- SEBI registration certificate
- Private Placement Memorandum (PPM) and Investment Management (IM) Agreement
- Track Record (realized and unrealized performance)
- Details of Key Members such as Directors/Partners of the AIF.
- Organizational Structure
- Compliance certifications
- Valuation policy
- ESG Policy (if applicable)
- Risk management framework
- Litigation disclosure
- PMLA-related declarations

Please note that the list is not exhaustive.

14. Is General Partner (GP) commitment mandatory?

Yes, strong GP skin-in-the game is expected to ensure alignment of interest.

15. Is co-investment required?

Co-investments are not allowed as per the PFRDA investment guidelines.

16. What reporting is required post-investment?

Periodic reporting shall include but not limited to:

- Quarterly portfolio updates
- NAV statements
- Capital account statements
- Valuation reports
- ESG reporting (if applicable)
- Material event disclosures

17. Is LPAC participation required?

Yes. The NB-FoF platform may seek:

- LPAC representation
- Governance participation

18. What are key evaluation parameters?

AIFs are assessed on parameters including but not limited to:

- Strategy clarity
- Risk-return profile
- Team stability
- Track record consistency
- Portfolio construction discipline
- Exit history
- Governance strength
- Regulatory compliance

20. Key Expectations from GPs?

- Strict Institutional governance standards
- Regular & Transparent communication
- Timely Reporting
- Strong Alignment of interest
- Ethical conduct
- Long-term value creation focus

21. What constitutes a Conflict of Interest?

A conflict arises when:

- The Sponsor/GP's personal, financial, or business interests interfere (or may appear to interfere) with fiduciary duties.
- Multiple funds managed by the GP compete for the same investment.
- Related parties transact with the AIF.
- Key personnel have undisclosed external interests.
- Incentive structures distort investment decisions